sector as well, slowly changing the terms and conditions of EMI in the process. EMI is a monthly payment to the bank or other non-banking financial company during the tenure of the loan which, when completed, adds up to the principal amount borrowed plus the interest levied upon it. It is simply a method for the bank to receive money from a borrower within the agreed time.

EMI consists of two components - the principal component and the interest component. At times, the processing fee can also be added to the EMI payment. During the first few payments, you might not see any significant decrease in the outstanding principal amount as usually most banks cover the interest amount first and then the principal amount. The amount paid per instalment depends upon three factors - the principal amount borrowed, the interest rate charged and the tenure of the loan.

EMI calculation is usually a simple process involving a simple formula.

EMI = [P x R x (1+R)^N]/[(1+R)^N-1]

Here **P** is the principal amount borrowed, **R** is the interest rate charged on a monthly basis, and **N** is the tenure of the loan in months. This formula gives the monthly amount due to the bank or lender in an equated manner. EMI calculation can also be done using the numerous offline and online EMI calculator tools available. *Bankbazaar.com* or *emicalculator.net* are good examples of online calculators. Mobile apps are also available that have provisions to consider all the different parameters and calculate EMI based on it.

On availing the EMI option while shopping, the term down payment is also used frequently. This is an advance payment, usually in cash, made to guarantee the purchase while the lender processes the credit request. In most cases, if the deals fall through, this amount will not be returned to the customer. Down payment only covers a small percentage of the total cost of the product.

Usages

EMI schemes can be used for a wide variety of uses. The most popular use today is the purchase of smartphones and other electronic goods online, but EMI is the go-to method for most loan recovery. EMI schemes are available for home loans, car loans and consumer products.

Pre-approved loans are a good option to use EMI schemes. Pre-approved loans are loans provided by banks to their customers due to their good credit or transaction history as well as their relationship with the bank. These loans are usually provided at a lower interest rate with no collateral